

	FINALTERM EXAMINATION SPRING 2007 ACC501 - BUSINESS FINANCE (Session - 3)	Marks: 60 Time: 150min
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StudentID/LoginID: _____

Student Name: _____

Center Name/Code: _____

Exam Date: Wednesday, July 11, 2007

Please read the following instructions carefully before attempting any question:

- All questions are compulsory.
- This exam consists of **10** Multiple Choice Questions (MCQ's), **5** True/False Questions, **3** Short Questions and **3** Numerical Questions.
- **Question No. 1-10** are MCQs carrying **1** Mark each, **Question No. 11-15** are True/False Questions carrying **1** Mark each, **Question No.16-18** are short questions carrying **5** Marks each and **Question No. 19-21** are numerical questions carrying **10** Marks each.
- For each MCQ, read the choices available carefully and select the choice which you consider is the correct one.
- You are required to show all the working of short questions as well as Numerical questions.
- The use of calculator and financial tables is allowed.
- The use of mobile phones in exam center is strictly prohibited.
- **A clock has been given in the exam software. Software will automatically be closed after 150 minutes.**
- Remember do not spend too much time on any one MCQ. Since all MCQ's carry equal marks, it is important to manage your time and responses to test questions effectively.
- This Examination is closed book, closed notes and closed neighbours.
- Failure to comply with the supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

For Teacher's use only											
Question Marks	1	2	3	4	5	6	7	8	9	10	Total
Question Marks	11	12	13	14	15	16	17	18	19	20	

Question	21										
Marks											

Question No: 1 (Marks: 1) - Please choose one

The process of planning and managing a firm's long-term investments is called :

- ▶ Planning Process
- ▶ Capital Structure
- ▶ Capital Budgeting
- ▶ Managing Process

Question No: 2 (Marks: 1) - Please choose one

Return on Equity (ROE) = _____ x Total Assets Turnover x Equity Multiplier

- ▶ Profit Margin
- ▶ Total Sales
- ▶ Net Income
- ▶ Total Equity

Question No: 3 (Marks: 1) - Please choose one

If a bank loans out Rs. 10,000 for 90 days at 8% simple interest, the Present Value (PV) will be :

- ▶ Rs. 9,105
- ▶ Rs. 9,807
- ▶ Rs. 10,325
- ▶ Rs. 10,765

Question No: 4 (Marks: 1) - Please choose one

The _____ is the rate where NPV (Net Present Value) equals to zero.

- ▶ WACC (Weighted Average Cost of Capital)
- ▶ IRR (Internal Rate of Return)
- ▶ MIRR (Modified Internal Rate of Return)

- ▶ AAR (Average Accounting Return)

Question No: 5 (Marks: 1) - Please choose one

_____ is adopted to permit minority participation.

- ▶ Cumulative Voting
- ▶ Straight Voting
- ▶ Proxy Voting
- ▶ Staggering

Question No: 6 (Marks: 1) - Please choose one

Which one of the following statements projects future years' operations in a summarized format ?

- ▶ Income Statement
- ▶ Cash Flow Statement
- ▶ Pro Forma Financial Statement
- ▶ None of the given options

Question No: 7 (Marks: 1) - Please choose one

The direct and indirect costs associated with going bankrupt or experiencing financial distress, are known as :

- ▶ Direct Bankruptcy Costs
- ▶ Indirect Bankruptcy Costs
- ▶ Financial Distress Costs
- ▶ All of the given options

Question No: 8 (Marks: 1) - Please choose one

Suppose you bought 1,500 shares of a corporation at Rs. 25 each. After a year, you received Rs. 3,000 (Rs. 2 per share) in dividends. The dividend yield will be :

- ▶ 5.00 %
- ▶ 8.00%
- ▶ 10.00%

- ▶ 12.00%

Question No: 9 (Marks: 1) - Please choose one

You earn a 7% real return. If the inflation rate is 5 percent, what is your nominal return ?

- ▶ 8.96 %
- ▶ 9.05 %
- ▶ 11.65 %
- ▶ 12.35%

Question No: 10 (Marks: 1) - Please choose one

The projected cash flows from a project are :

Years	Cash flows
1	Rs. 100
2	Rs. 300
3	Rs. 600
4	Rs. 800

The project costs Rs. 1,000. What would be the payback period for the project ?

- ▶ 2.00 Years
- ▶ 2.67 Years
- ▶ 3.00 Years
- ▶ 3.67 Years

Question No: 11 (Marks: 1) - Please choose one

Sole Proprietorship is a business created as a distinct legal entity owned by one or more individuals or entities.

- ▶ True
- ▶ False

Question No: 12 (Marks: 1) - Please choose one

The term discounting is associated with Future Value concept whereas the term compounding is associated with Present Value concept.

- ▶ True
- ▶ False

Question No: 13 (Marks: 1) - Please choose one

Constant Growth Stock is a share of common stock in a company with a constant rate of dividend.

- ▶ True
- ▶ False

Question No: 14 (Marks: 1) - Please choose one

Portfolio is the group of assets (stocks and bonds) held by an investor.

- ▶ True
- ▶ False

Question No: 15 (Marks: 1) - Please choose one

The difference between bank cash and book cash, representing the net effect of cheques in the process of clearing is called float.

- ▶ True
- ▶ False

Question No: 16 (Marks: 5)

Following are given cash inflows of a project. Assume that all cash flows are received at the end of the period.

Period	Cash Flows
1	Rs.10,000
2	Rs.15,000
3	Rs.20,000
4	Rs.30,000
5	Rs.35,000

Calculate the future value of cash flows stream at the end of year 5 with a compound annual interest rate of 10%.

Question No: 17 (Marks: 5)

Write down the statements for the followings:

- a. NPV (Net Present Value) Rule
- b. IRR (Internal Rate of Return) Rule
- c. Payback Rule
- d. PI (Profitability Index) Rule
- e. AAR (Average Accounting Return) Rule

Question No: 18 (Marks: 5)

What do M&M Proposition I and Proposition II state ?

Question No: 19 (Marks: 10)

Mr. Jamil has Rs. 70,000 that he can deposit in savings accounts of any of three banks A, B or C for a three years period. Bank A compounds interest on annual basis; Bank B compounds interest semi-annually (twice each year); and Bank C compounds interest quarterly (four times each year). All three banks have a stated annual interest rate of 12%.

1. How much Mr. Jamil will have in his account after three years if he deposits his money in Bank A ?
2. How much He will have in his account after three years if he deposits his money in Bank B ?
3. How much He will have in his account after three years if he deposits his money in Bank C ?
4. On the basis of your findings in above parts, describe which bank should Mr. Jamil deal with and why ?

Question No: 20 (Marks: 10)

SNT Company presently paid a dividend of Rs.1.5 per share and has a share price of Rs.25. The dividends are expected to grow @ 15% forever. SNT Company has Rs.100 million in equity and Rs.75 million in debt in its total capital. The tax rate for the firm is 35% and the Cost of debt is 12%. Calculate the Weighted Average Cost of Capital (WACC) for SNT Company?

Question No: 21 (Marks: 10)

Magi Inc. specializes in toys and receives all income from sales.

Quarters *	1	2	3	4	1 (next year)
Sales (Rs.)	500,000	600,000	650,000	800,000	550,000

** Each quarter consists of 3 months (90 days)*

- Accounts Receivable:
 - Beginning receivables = Rs. 250,000
 - Average Collection Period = 30 days
- Accounts Payable:
 - Purchases = 50 % of next quarter's sales

- Beginning payables = Rs. 125,000
 - Accounts Payable Period is 45 days
- Other expenses:
 - Wages, taxes and other expenses are 25% of sales
 - Interest and dividend payments are Rs. 50,000
 - A major capital expenditure of Rs. 200,000 is expected in the second quarter

You are just required to calculate the Cash Collections (Receipts) and Cash Disbursements (Payments) for four Quarters.